

zero, then ignore it. Similarly, large percentage changes probably won't happen either, so use common sense.

The bottom portion of the table shows how often the rule works. For example, if a pattern has a high price of \$10 and a low of \$9, that's a height of \$1. For upward breakouts, the target would be \$11 and the downward breakout target would be \$8. Using the full height would work between 61% and 82% of the time. For a closer target, take half of the height to get a close target of 10.50 or 8.50, in our example. Price reaches the target between 80% and 94% of the time, on average.

Let's apply the measure rule to [Figure 45.5](#). The highest high in the island bottom is 24.63 (which is just below the gap in early February, not the larger gap in mid-February) while the low is 17.50. Add the difference of 7.13 to the highest high to get the predicted price target for an upward breakout. In this case, the target is 31.75, a target not reached before the formation fails.

As a check, divide the distance to the target by the current price and check [Table 45.3](#). In our example, the target is \$1 away from \$10, or 10% (let's assume an upward breakout in a bull market).

[Table 45.3](#) says that 46% of the patterns will fail to see price rise more than 10%. That also means 54% of them will succeed. No matter how you slice or dice the numbers, I don't like those percentages.

Watch trendlines. In the Focus on Failures section of this chapter, I discussed trendline resistance in detail, so there is not much to add here. However, both up and down trendlines can show a trend change. Wait for price to *close* above a down-sloping trendline or below an up-sloping one before pulling the trigger. Many times price will near the trendline and be repulsed, so you want to make sure that the piercing does, indeed, signal a change in trend. You might wait a few days after the trendline pierce to be sure price has pushed through trendline support or resistance.

Tips. For island bottoms, about the only tip I can pass on is to use price mirrors for your trading. What does that mean? Imagine that there's a mirror in the middle of the island bottom that reflects what happens to the left of the island onto the chart on the right.

Now set your target accordingly.